

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

SAMSUNG ELECTRONICS AMERICA, INC., *Complainant*

v.

SM LINE CORPORATION, *Respondent*.

DOCKET NO. 23-01

Served: February 5, 2024

ORDER OF: Alex M. CHINTELLA, *Administrative Law Judge*.

MEMORANDUM ORDER REGARDING DISCOVERY MOTIONS [DKT. 55, 57, 61, 62, 68, AND 69]

On January 29, 2024, Complainant Samsung Electronics America, Inc. (“SEA”) filed a motion [Dkt. 55] for determination of a claim of privilege and waiver with respect to a document produced by Respondent SM Line Corporation in discovery (“Waiver Motion”). SEA also filed a motion [Dkt. 57] for leave to continue the deposition of SM Line’s corporate designee under Commission Rule 143(b)(6) (“Rule 143(b)(6) Motion”), accompanied by a motion for confidential treatment [Dkt. 68]. On January 31, 2024, SM Line filed a motion to quash [Dkt. 69] four deposition notices (“Motion to Quash”) accompanied by a motion [Dkt. 61] for confidential treatment. SM Line also filed a motion for confidential treatment [Dkt. 62] of its response to the Waiver Motion.

Given the short timeframe remaining in the discovery period, I scheduled a status conference for February 2, 2024 to resolve the motions, and gave the parties the option of presenting any outstanding oppositions orally at the conference. At that conference I allowed SEA to make an oral motion to compel production of additional documents related to the four deponents who are the subject of the Motion to Quash. I heard argument on each motion and resolved them at the status conference, which was recorded and transcribed through Teams. I am issuing this order to memorialize the findings and orders made on the record at the conference.

1. **Waiver Motion.** The parties have no claw-back provision in their confidentiality agreement. Under FRE 502(b), a disclosure of protected material does not operate as a waiver if the disclosure is inadvertent, reasonable steps were taken to prevent disclosure, and the holder took prompt action to rectify the error. Upon *in camera* review of the subject document and the declarations submitted by SM Line, I determined that the work-product protection applied and that disclosure was inadvertent. While SM Line made general statements about its privilege review, I was not provided with sufficiently detailed information from which to determine that reasonable steps were taken to prevent disclosure. *See Amobi v. D.C. Dep’t of Corr.*, 262 F.R.D. 45 (D.D.C. Dec. 8, 2009). Additionally, SM Line did not take prompt steps

to remedy the error: the document was introduced as an exhibit at two depositions on December 21, 2023 and January 17, 2024, and the witnesses examined about its contents without objection (as to privilege), before SM Line requested its return at 10:04 AM January 18, 2024 – 4 minutes after a deposition involving questions about the document was scheduled to start and after counsel had discussed its protected status with the client the previous day. Under these circumstances, I found SM Line waived work-product protection and SEA’s motion [Dkt. 55] is **GRANTED**; the waiver does not extend under FRE 502(a) to any undisclosed documents.

2. **Rule 143(b)(6) Motion.** I reviewed the relevant portions of the deposition transcript of SM Line’s corporate designee and I do not find that he was unprepared for the deposition. As to delays caused by translation – the parties were well aware which witnesses needed translators, could have reasonably anticipated the need for additional time, and should have agreed to additional time or filed a motion prior to the depositions. But there is an additional concern – SM Line produced responsive documents (prior versions of detention and demurrage policies) directly related to the subject matter of the Rule 143(b)(6) deposition at 5:05 PM during the deposition and did not produce documents the deponent brought to the deposition until after the deposition was over. To cure the prejudice caused by SM Line’s late productions, the motion [Dkt. 57] is **GRANTED** to the extent SM Line must produce a witness or witnesses with knowledge of the prior versions of the detention and demurrage policies and SEA is permitted an additional four hours to depose this designee on topics related to those policies only. SM Line must also produce Mr. Choi for any follow up questions on the documents he brought to the deposition, not to exceed two hours.
3. **Motion to Quash.** At the status conference, I learned that SM Line has also issued a new deposition notice after my most recent extension to the scheduling order – under these circumstances it cannot very well argue that SEA’s notices violate the spirit of the order, which was designed to provide a few extra weeks to “wrap up” whatever was not finished. And while I am cognizant of the impact of so-called “apex depositions” on a company’s operations, I cannot say based on the information presented that SEA’s notices are improper given that the four proposed witnesses occupy the positions identified in SM Line’s documents as those who are directly responsible for making the decisions regarding detention and demurrage that are the subject of this case. Nevertheless, given the late hour and the need to bring discovery in this case to a prompt conclusion, SM Line’s motion [Dkt. 69] is **GRANTED** to the extent SEA is limited to a total of seven hours of deposition time for all four witnesses combined.
4. **Motion to Compel.** At the status conference, SEA made an oral motion to compel production of additional documents related to the four deponents who are the subject of the Motion to Quash, on the theory that the lack of responsive emails related to these

individuals is improbable given their roles. SM Line responded that a search has been conducted and no further responsive documents exist. I informed SEA that if the depositions of these witnesses reveal undisclosed documents, they can revisit this issue. The motion is **DENIED** without prejudice.

5. **Motions for Confidential Treatment.** As has been noted several times throughout this proceeding, the parties have produced documents containing sensitive commercial information, public disclosure of which would harm the parties' financial interests. The present motions for confidential treatment are consistent with prior motions and with the material presented in the subject filings. The motions for confidential treatment [Dkt. 61, 62, and 68] are therefore **GRANTED**. The Office of the Secretary is requested to treat the referenced documents [Dkt. 57, 66, and 69] or portions thereof as confidential and the parties are directed, if they have not already done so, to provide the Office of the Secretary with the public versions for filing.

At the status conference, SEA previewed a dispute regarding SM Line's topics in its Rule 143(b)(6) notice. I directed the parties to meet and confer regarding this issue.

I also reminded the parties of our conversation in August 2023. At a status conference regarding the first request to extend discovery, I encouraged them to take account of the limited time available and the fact it coincided with the holidays, plan accordingly, cooperate with each other, and not wait until the end to schedule all the depositions or bring any issues to my attention. Instead, the parties decided to wait until the holidays to start planning, fight about everything, schedule all the depositions concurrently, back-to-back, and in the last days of the schedule, then file a flurry of motions over issues they should have been able to work out themselves. The parties are **ORDERED** that no further discovery related motions may be filed in this case. If the parties are meeting to resolve an issue related to discovery, and they cannot reach agreement, they must contact me as instructed at the status conference and I will rule immediately or instruct them to file briefs if necessary.

Alex Michael
Chintella

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Michael Chintella
Date: 2024.02.05
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Alex M. Chintella
Administrative Law Judge